

Multiple Choice (10 marks)

1. If nominal GDP equals \$6000 and the GDP deflator equals 200 then real GDP equals
 - (a) \$30
 - (b) \$3,000
 - (c) \$12,000
 - (d) \$1,200
2. Usually, the supply curve of firms operating under conditions of perfect competition in product market would be identified as
 - (a) perfectly vertical in the long run.
 - (b) perfectly horizontal in the short run.
 - (c) more elastic in the long run.
 - (d) more elastic in the short run.
3. Which of the following is the most likely to be a deterrent to growth in the economy?
 - (a) Spending on education and training
 - (b) Increases in capital
 - (c) Increases in the interest rate
 - (d) Expenditures on research and development
4. GDP measures
 - (a) production within a nation's borders.
 - (b) production by a nation's citizens wherever they may be.
 - (c) income earned by the factors of production plus depreciation and indirect business taxes.
 - (d) (A) and (C)
5. On a bank's balance sheet which of the following is considered a liability?
 - (a) Required reserves
 - (b) Excess reserves
 - (c) Loans
 - (d) Deposits

True / False (10 marks)

Answer True or False

6. True or False: A decline in the quality of higher education leads to an increase in a nation's production possibility frontier.
7. True or False: Dumping is a strategy where a corporation sells products in a foreign market at lower prices to gain market share.
8. True or False: In a centrally planned economic system, government planners decide how best to produce goods and services.
9. True or False: Lowering reserve requirements forces banks to hold more reserves and limits their ability to lend money.
10. True or False: An oligopolist faces a perfectly horizontal demand curve, indicating that price changes do not affect the quantity demanded.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of economic rent and analyze how a superstar basketball player's \$50 million earnings exemplify this concept in the context of supply and demand in sports.
12. Discuss the impact of inflation in the European Union on the value of the U.S. dollar in global currency markets, explaining the relationship between inflation rates and currency valuation.

End of Paper